7-1d What Does Consumer Surplus Measure?

Our goal in developing the concept of consumer surplus is to make judgments about the desirability of market outcomes. Now that you have seen what consumer surplus is, let's consider whether it is a good measure of economic well-being.

Imagine that you are a policymaker trying to design a good economic system. Would you care about the amount of consumer surplus? Consumer surplus, the amount that buyers are willing to pay for a good minus the amount they actually pay for it, measures the benefit that buyers receive from a good *as the buyers themselves perceive it*. Thus, consumer surplus is a good measure of economic well-being if policymakers want to satisfy the preferences of buyers.

In some circumstances, policymakers might choose to disregard consumer surplus because they do not respect the preferences that drive buyer behavior. For example, drug addicts are willing to pay a high price for heroin. Yet we would not say that addicts get a large benefit from being able to buy heroin at a low price (even though addicts might say they do). From the standpoint of society, willingness to pay in this instance is not a good measure of the buyers' benefit, and consumer surplus is not a good measure of economic well-being, because addicts are not looking after their own best interests.

In most markets, however, consumer surplus does reflect economic well-being. Economists normally assume that buyers are rational when they make decisions. Rational people do the best they can to achieve their objectives, given their opportunities. Economists also normally assume that people's preferences should be respected. In this case, consumers are the best judges of how much benefit they receive from the goods they buy.

QuickQuiz

1. Alexis, Bruno, and Camila each want an ice-cream cone. Alexis is willing to pay $12, Bruno is willing to pay $8, and Camila is willing to pay $4. The market price is $6. Consumer surplus equals

    a. $6.

    b. $8.

    c. $14.

    d. $18.

2. If the price of an ice-cream cone falls to $3, the consumer surplus of Alexis, Bruno, and Camila increases by

   a. $6.

   b. $7.

   c. $8.

   d. $9.

3. The demand curve for cookies is downward-sloping. When the price of cookies is $3, the quantity demanded is 100. If the price falls to $2, what happens to consumer surplus?

   a. It falls by less than $100.

   b. It falls by more than $100.

   c. It rises by less than $100.

   d. It rises by more than $100.